



CLEAR[®]

Recommendation

Sell

Current Price

\$48

Price Target

\$26

Expected Return

46%

NYSE: YOU

March 20, 2025

Investment Thesis

1.

Revenue growth slows as Amex partnership becomes fully penetrated; FY27 revenue 22% under expectations

- Government shutdown-related TSA strain is masking the underlying slowdown

2.

Gross retention falls 1% in FY26, contributing 20% of the FY27 \$270M revenue miss

- TSA Touchless ID pressures Clear's retention and costs ~6% of the price

Estimates	2026E	2027E	2028E
Revenue (Th)	948	933	914
Consensus	1,044	1,191	1,277
<i>Deviation</i>	-9%	-22%	-28%
EPS	1.26	1.23	1.21
Consensus	1.58	1.94	2.66
<i>Deviation</i>	-21%	-36%	-55%

Business Overview

Airport Security Lanes

- Expedited identity verification lanes at 60 airports
- Growth historically driven by partnerships with Delta, United, and Amex (Platinum); American has refused

CLEAR+ Membership cost:

- Regular: \$209/yr
- Family: \$125/yr

Non-airport Revenue

- No reported segments
 - COVID digital vaccine card (failed)
 - TSA PreCheck enrollment provider (~0.75% revenue)
 - Sports stadiums
 - Clear1: Healthcare identity verification

Clear Membership Price via United

Membership Tier	2019 Price	2019 Discount	2025 Price	2025 Discount
Global Services	\$0	100%	\$0	100%
Premier 1k	\$0	100%	\$129	38%
Silver, Gold, Platinum	\$109	39%	\$169	19%
MileagePlus Member	\$119	34%	\$199	5%

Clear Membership Price via Delta

Membership Tier	2019 Price	2019 Discount	2025 Price	2025 Discount
Diamond Medallion	\$0	100%	\$0	100%
Silver, Gold, Platinum	\$109	39%	\$169	19%
SkyMiles Member	\$119	34%	\$199	5%

*Average discount has been reduced by ~50% since CY19

Business Overview

Traditional Clear Kiosk



New eGates



Currently at 37 airports, expected rollout to 60 by FY26

Industry Overview

TSA PreCheck

- Federal program funded by user fees & federal appropriations
- Lanes at 200+ airports at a cost of ~\$13/yr
- Launched in 2013
- Dominates on scale, price, passenger share

Clear

- Clear's value proposition is strongest for frequent-flyers at congested airports
- As more members sign up value proposition worsens
- Launched in 2012

Airport Security Market Share

Provider	Clear	TSA PreCheck
Passengers Screened	52M	308M
Share of Total Travelers	5.8%	34.0%

Provider	Clear	TSA PreCheck
Cost	\$209/yr	\$13/yr
Airports	60	200
Members	7.6M	20M
2024 Growth	26%	33%

Amex Partnership is 95% Penetrated & 77% of Rev

Amex Build

Metric	3Q21	2Q22	2Q23	2Q24	2Q25
Accrued Partnership Liab. (A)	17,933	67,166	136,422	186,947	237,771
% Discount (B)	35%	35%	35%	35%	35%
Total Amex Bookings (A / B)	51,237	191,903	389,777	534,134	679,346
Membership Price	189	189	189	189	199
Amex Subs (Bookings / Price)	271	1,015	2,062	2,826	3,414
Platinum Card Holders	2,000	2,000	3,000	3,599	3,599
Amex Subs	271	1,015	2,062	2,826	3,414
% TAM Penetration	14%	51%	69%	79%	95%
Quarterly Bookings	67,558	102,723	149,871	186,745	219,467
Quarterly Amex Bookings	12,809	47,976	97,444	133,534	169,836
% Share	19%	47%	65%	72%	77%

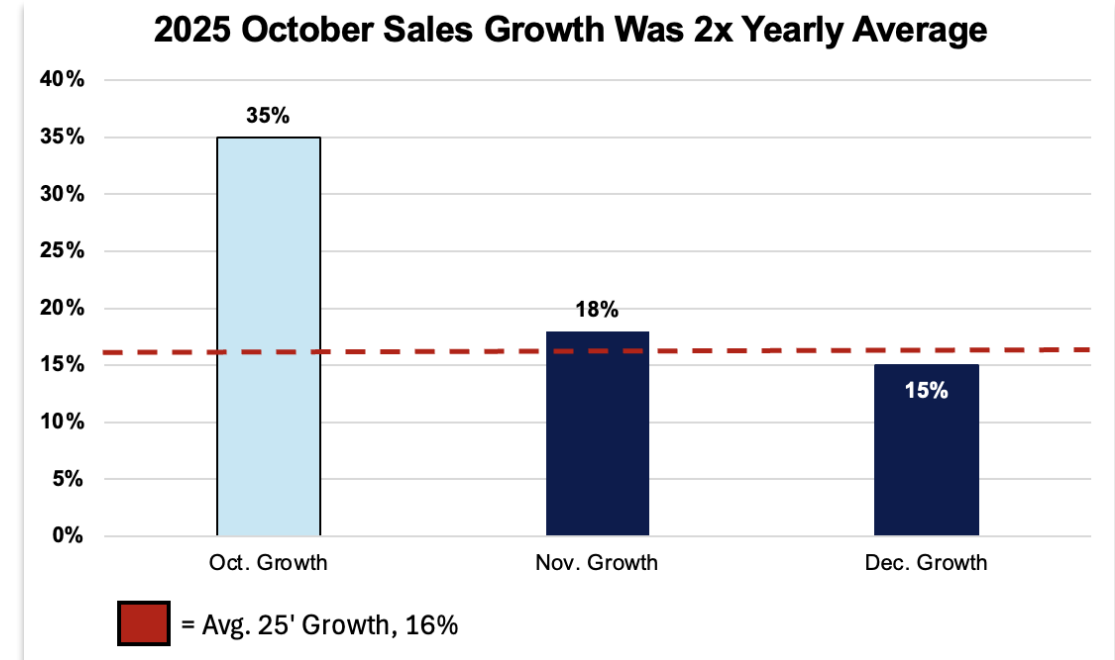
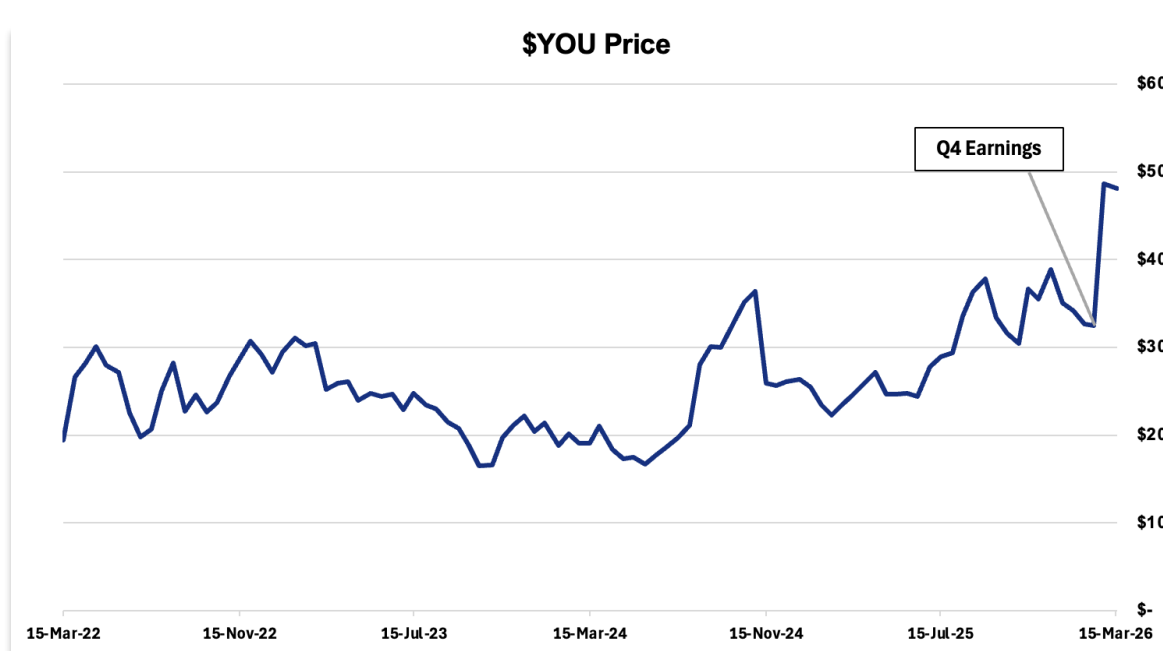
Estimates vs Consensus

Estimates	2026E	2027E	2028E
Revenue (Th)	948	933	914
Consensus	1,044	1,191	1,277
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Modelled Estimates

- 77% of users grows at 4% (Amex FY25 cards-in-force growth rate)
- 23% of users grow at consensus 16%
- **Blended growth rate of 6.7% in FY26**

Why is Consensus Missing This? → Gov't Shutdown



*Airports sampled represent 23% of network traffic

Government Shutdown Influence: 10/1/25 – 11/12/25

- Q4 saw a reacceleration of bookings growth → but not because of fundamental business momentum
- Clear's value proposition increases when TSA delays intensify
- We model 1H26 at 2x regular blended growth rate

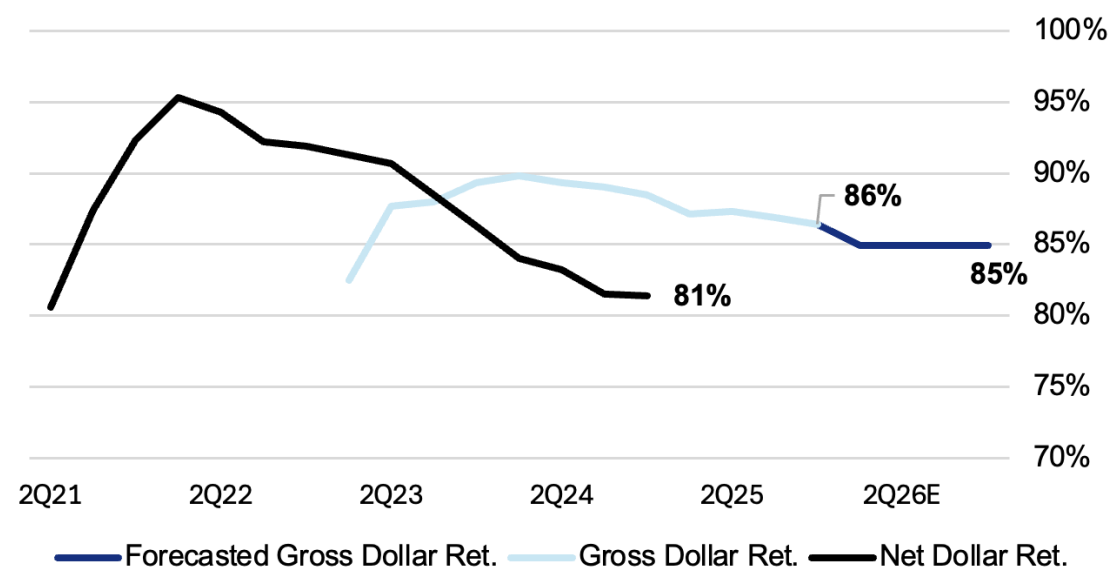
TSA Touchless ID Pressures Retention

Contributes 20% of FY27 Revenue Miss

Retention

- Churn rises 1% based on 20% of 70 Reddit comments indicating switching
- Contributes to 20% of FY27 Revenue Miss
- Management stopped disclosing gross retention last quarter
- Net retention discloser ended FY24

CLEAR+ Gross & Net Dollar Retention



Valuation

Base Case: -46%

- Clear returns to trading at average 21.1x NTM P/E Ratio vs 27.4x today
- Growth falls off due to Amex penetration
- Net retention does not improve from trend

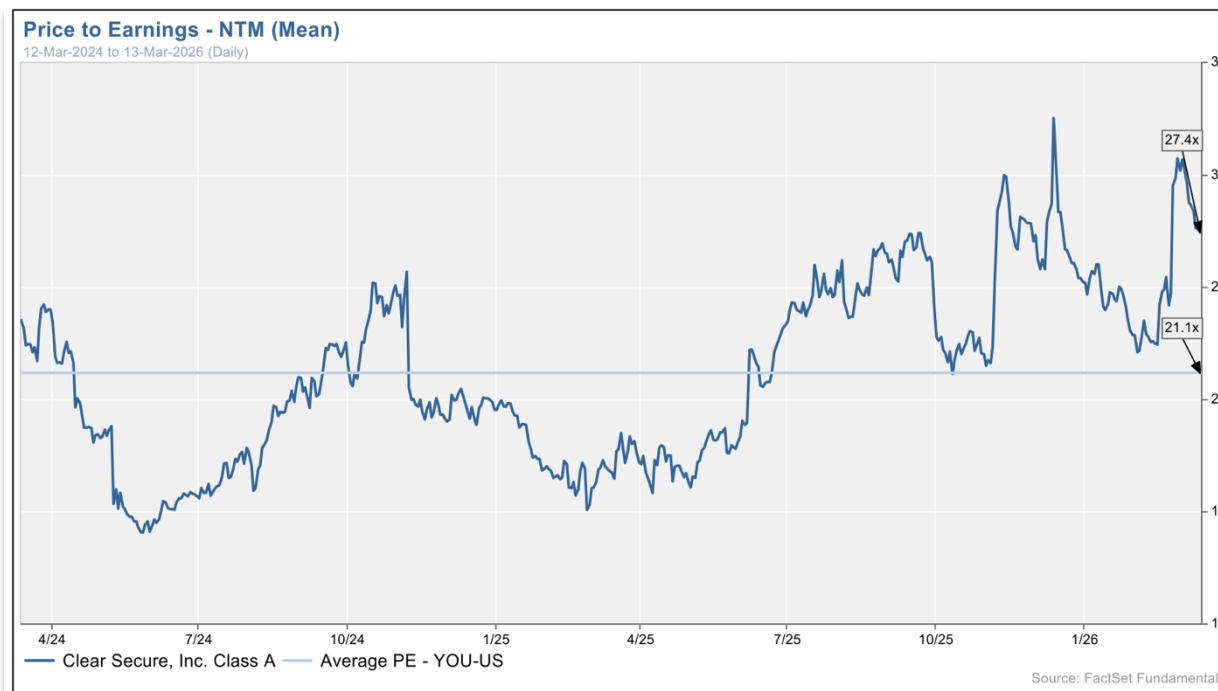
Bear Case: -60%

- Revenues decline faster than we forecast
- OMs fall as Clear raises ad-spend to compete with TSA

Bull Case: 13%

- Clear expands into non-airport industries and retention inflects positively

	Bear	Base	Bull
EPS	\$ 1.10	\$ 1.23	\$ 1.81
Multiple	17.5x	21.1x	30.0x
Price Target	\$ 19.34	\$ 26.03	\$ 54.31
Upside (Down)	-60%	-46%	13%



Risks

Government Shutdowns Provide a Greater-Than-Expected Tailwind

- Clear's value proposition increases when wait times increase
- DHS underfunding may persist longer than expected

TSA Touchless ID Rolls Out More Slowly Than Expected

- Risk of delay to 60 airport rollout by Spring 2026 may delay effect on gross retention

Management is Better at Expectation-Setting Than We Assume

- Management has history of reducing reported KPIs to mask deterioration
- CEO Becker's career began in the buy-side

eGates May Exceed Expectations

- We may be too conservative on how much eGates reduce labor intensity and improve usage

Summary

Recommendation	Current Price	Price Target	Expected Return
Sell	\$48	\$26	46%

Appendix

Non-airport Business Lines

Sports/Concert Venues

- CY25: 9 Stadiums
- CY24: 17 Stadiums (wayback machine)
- Language about growth from stadiums & venues struck since FY23 10-K
- Marketing spend declining 11% y/y to \$4.8M

TSA PreCheck Enrollment

- Accounts for only 0.75% of revenue at ATL, busiest domestic airport

CLEAR1

- FY25 10-K: revenue from CLEAR1 partners “has historically been immaterial.”
- Median ID verification biz trade at 50% lower than Clear’s NTM P/E

Primary Research

Typical FOIA Request Structure



“Hello, I am a student completing a research project for a class. I respectfully request the most recent 36 months of revenue reports submitted by Clear Secure also known as Alclear, LLC and/or Clear, as well as any periodic reports which detail historical financials between Orlando International Airport and the aforementioned company. These reports should be sent to me digitally in the form of a PDF via email or accessible via the request portal.”

Reddit Survey

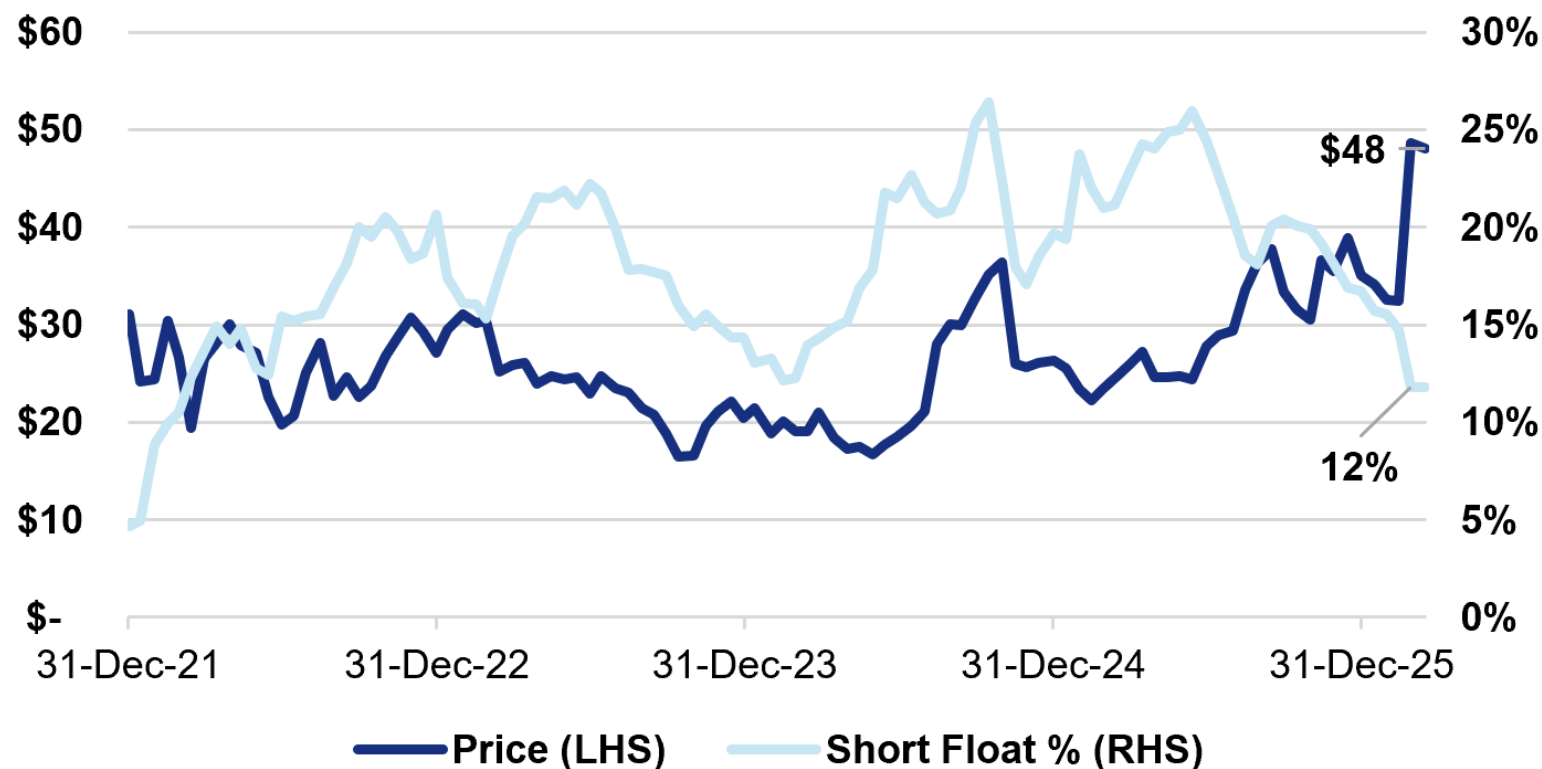
- 27 responses & 70+ comments
- Ran sentiment analysis across comments to sort into buckets
- Subreddits included r/traveladvice, r/unitedairlines, r/airports, r/airport, r/creditcards, and r/tsaprecheck

FOIA Request Summary

Status	Code	Airport
Info Received	OAK	Oakland Intl
Info Received	JWA/SNA	John Wayne Airport
Info Received	ATL	Hartsfield–Jackson Atlanta Intl
Info Received	SEA	Seattle-Tacoma Intl
Info Received	ORD	Chicago O'Hare Intl
Info Received	LAS	Harry Reid Intl
Info Received	MCO	Orlando Intl
Info Received	MIA	Miami Intl
Info Received	SFO	San Francisco Intl
Response	LAX	Los Angeles Intl
Response	BOS	Boston Logan Intl
Response	PDX	Portland Intl
Request Sent	CLT	Charlotte Douglass Intl
Request Sent	JFK	John F. Kennedy Intl
Request Sent	DFW	Dallas/Fort Worth Intl
Rejected	AUS	Austin-Bergstrom Intl
Rejected	DEN	Denver Intl
Rejected	DTW	Detroit Metro
Rejected	BWI	Baltimore/Washington Intl

Short Interest

Short Interest vs Price



Adjusted Short Interest

- Fully diluted only **8.5% SI**
- 3.6 days to cover
- Reported 11.8% short is based only on ~89M publicly traded Class A shares
- Classes B, C, and D readily convertible 1:1 for A

Relative Value

Ticker	Name	NTM P/E	Mkt Cap	NTM Earnings	EBIT Margin	NI Margin	ROIC	Sales Grwth
YOU-US	Clear Secure	29.1x	4,516	155	21%	12%	37%	17%
Travel SaaS								
BKNG-US	Bookings Holdings	17.6x	144,127	8,191	33%	20%	47%	13%
TRIP-US	Trip Advisor	15.6x	1,196	77	4%	2%	2%	3%
EDR-ES	EDreams ODIGEO	6.1x	333	55	12%	7%	13%	6%
Identity Security SaaS								
FA-US	First Advantage	10.0x	2,102	209	8%	-2%	-1%	83%
MITK-US	Mitek Systems	12.5x	664	53	9%	5%	5%	4%
OKTA-US	Okta	20.4x	14,299	702	26%	8%	3%	12%
SAIL-US	SailPoint	65.5x	8,643	132	15%	-125%	-9%	N/A
Average		22.1x	21,985	1,197	16%	-9%	12%	20%
Median		16.6x	3,309	144	14%	6%	4%	12%

* Mkt Cap and Earnings in \$MM, Clear numbers based on our estimates

Amex Partnership Math Breakdown

Accrued Partnership Liability

- Clear recognizes revenue from Amex before any discounts
- The money owed to recognize the discount is recorded here

TAM Commentary

- 3Q21: management reports Amex partnership was 10–15% penetrated
- \$17.9M accrued partnership liability / 35% Amex discount = 271k Amex subs
- 271k / 2M Platinum cardholders = 14% penetration, in line with management

Current Amex Subs

- \$9.9B Amex fees in 2025 → \$5.2B US card fees → 38% Platinum mix = \$2.0B fee pool
- \$2.0B / \$550 net fee → ~3.6M Platinum cardholders

Management

Incentives

- Bonus weighted 70% financial targets, 30% individual performance
- Financial targets based on:
 - Bookings
 - Unlevered FCF

Strategy

- eGate rollout is top priority
- Expanding Clear's TAM
 - 8 references in 2025 Calls
 - Healthcare
 - Concierge

Name	Title	Tenure	Previous Experience	2024 Comp	Comp Mix
Caryn Seidmen Becker	CEO, Chairman	Co-Founder (2010)	Formerly founded value hedge fund Ariance Capital. Prior MD at Iridian Asset Management.	\$6.1M	9% Salary 81% Equity 10% Incentive
Lynn Haaland	General Counsel, Chief Privacy Officer	Joined 2024	Previously Chief Compliance Officer at Zoom, regulatory consultant at PepsiCo.	\$5.2M	5% Salary 85% Equity 4% Incentive 5% Bonus
Kyle McLaughlin	EVP Aviation	Joined 2024	Earlier founded boutique consultancy specializing in sports, entertainment.	\$1.9M	26% Salary 52% Equity 21% Incentive
Jonathan Schlegel	Chief Security Officer	Joined 2024	Formerly Chief Security Officer at Dupont, Director of Operations Cyber Intelligence Office at NSA.	\$0.5M	32% Salary 15% Incentive 47% Bonus

TSA PreCheck Enrollment Industry

TSA PreCheck Enrollment Market Share

Provider	Date Began	Enrollment Locations	% Share
Clear	4/24	337	25.4%
Telos	8/23	509	38.3%
IDEMIA	1/13	482	36.3%

Market Structure

- TSA-authorized, three-provider market (CLEAR, IDEMIA, Telos)
- Competing on distribution footprint, convenience, and price
- Fees vary by provider:
 - Telos: \$85
 - IDEMIA: \$76.75
 - Clear: \$79.95

Porter's 5 Forces

Threat of Substitutes:	High	TSA PreCheck and comparatively faster standard lanes could reduce Clear's value.
Bargaining Power of Suppliers:	High	Airports and airlines control lane access and rent economics.
Bargaining Power of Buyers:	Med.	Value fluctuates with congestion. Buyers can easily switch to the cheaper TSA PreCheck.
Industry Rivalry:	Low	TSA automation and competing PreCheck enrollment providers narrow differentiation.
Threat of New Entrants:	Low	Regulatory and airport-access bureaucracy limit entry.